FICTIONAL COMPARISON. MFRS V1.2 answers derived from a fictional organisation; scored by the existing calculator. Not a customer report.

MK FRAUD INSIGHTS

ESSENTIAL FRAUD READINESS REPORT

Fictional Retail Group (overstated confirmations) shows a broadly strong fraud readiness position, with fraud leadership and governance the most developed capability and fraud culture and awareness the area most exposed to drift.

88.2 / 100 STRATEGIC

PREPARED FOR

Fictional Retail Group (overstated confirmations)

Assessment reference · FX-P6b

Assessment date · 11 November 2026

CONFIDENTIAL · PREPARED FOR THE MANAGEMENT OF FICTIONAL RETAIL GROUP (OVERSTATED CONFIRMATIONS)

WHAT DOES THE ASSESSMENT SHOW?

Fraud readiness at a glance

88.2	Strategic	10	90.67	85.56
READINESS SCORE OUT OF 100	MATURITY BAND	DOMAINS ASSESSED	STRONGEST DOMAIN	WEAKEST DOMAIN
			Fraud Leadership & Governance	**Fraud Culture & Awareness**

Domain readiness profile

Fraud Culture and Awareness	85.56	Strategic
Third-Party and Supply Chain Fraud Risk	85.88	
Fraud Detection Capability	87.06	
Digital and Identity Fraud Risk	87.57	
Fraud Incident Response	87.69	
Whistleblowing and Reporting Culture	88.33	
Operational Fraud Controls	88.57	
Fraud Risk Identification	89.74	
Continuous Improvement and Fraud Risk Monitoring	90.48	
Fraud Leadership and Governance	90.67	

Ordered weakest first. Overall readiness 88.2 / 100.

WHY DOES THE POSITION LOOK LIKE THIS?

What is sustaining the position

PATTERN	ASSESSMENT SIGNALS	WHY IT MATTERS
Fraud governance and risk discipline	Fraud Risk Identification **89.74** Continuous Improvement and Fraud Risk Monitoring **90.48** Fraud Leadership and Governance **90.67**	The reported cycle of ownership, assessment and review holds only while it stays current, evidenced and connected to management decisions.
Supplier and payment integrity	Third-Party and Supply Chain Fraud Risk **85.88** Operational Fraud Controls **88.57**	Supplier onboarding and payment-change challenge are reported as operating; the management question is whether that discipline holds across the full population and through supplier or process change.
Monitoring and detection coverage	Fraud Detection Capability **87.06** Digital and Identity Fraud Risk **87.57** Continuous Improvement and Fraud Risk Monitoring **90.48**	Monitoring is reported as operating; the management question is whether coverage, alert ownership and escalation keep pace as volumes and fraud methods change.
Incident response and evidence integrity	Fraud Culture and Awareness **85.56** Fraud Incident Response **87.69** Whistleblowing and Reporting Culture **88.33**	Reporting, preservation and response are reported as operating; the management question is whether they would hold under a live incident and produce defensible evidence.

WHAT IS SUPPORTING READINESS?

Strengths supporting readiness

CAPABILITY	ASSESSED	WHAT IS IN PLACE	MANAGEMENT VALUE
Fraud Detection Capability	**87.06**	A maintained catalogue of rules and data checks maps each test to a fraud scenario, runs against reconciled data, and is tuned from confirmed outcomes.	Preserve alert ownership, review discipline and timely escalation as detection coverage evolves.
Third-Party and Supply Chain Fraud Risk	**85.88**	All third parties receive proportionate identity, ownership, sanctions/conflict and capability checks before contracting, with enhanced approval for high-risk relationships.	Preserve supplier due diligence and ownership checks before engagement.
Fraud Culture and Awareness	**85.56**	Induction includes fraud content covering policy, reporting routes, consequences and role-relevant risks, is completed within a defined period of joining, and covers contractors where they hold equivalent access.	Preserve role-specific fraud awareness and timely reinforcement for higher-risk roles.

Assessed positions are drawn from the responses given. They describe what the organisation reports is in place, and have not been independently tested.

WHERE COULD READINESS DRIFT?

Where readiness could drift

These are not weaknesses. Each one is a capability the assessment shows is working, together with the condition it depends on and the change that would put it at risk.

Fraud Detection Capability

Depends on: Fraud analytics owner continuing to own and operate it.

Would signal drift: The cycle slips: Scheduled rule execution at least monthly; monthly tuning review.

Management response: Preserve alert ownership, review discipline and timely escalation as detection coverage evolves.

Third-Party and Supply Chain Fraud Risk

Depends on: Procurement / Vendor Risk continuing to own and operate it.

Would signal drift: The cycle slips: Before engagement; annual refresh for high-risk third parties.

Management response: Preserve supplier due diligence and ownership checks before engagement.

Fraud Culture and Awareness

Depends on: Human Resources / Learning and Development continuing to own and operate it.

Would signal drift: The cycle slips: On every joiner, within the defined completion period.

Management response: Preserve role-specific fraud awareness and timely reinforcement for higher-risk roles.

WHAT DOES MANAGEMENT NEED TO CHANGE?

What management should preserve

#	MANAGEMENT OUTCOME	WHY NOW	ACCOUNTABLE	WHAT GOOD LOOKS LIKE
1	**fraud detection capability readiness**	A maintained catalogue of rules and data checks maps each test to a fraud scenario, runs against reconciled data, and is tuned from confirmed outcomes.	CFO / Chief Technology Officer	Preserve alert ownership, review discipline and timely escalation as detection coverage evolves.
2	**third-party and supply chain fraud risk readiness**	All third parties receive proportionate identity, ownership, sanctions/conflict and capability checks before contracting, with enhanced approval for high-risk relationships.	CFO / COO	Preserve supplier due diligence and ownership checks before engagement.
3	**fraud culture and awareness readiness**	Induction includes fraud content covering policy, reporting routes, consequences and role-relevant risks, is completed within a defined period of joining, and covers contractors where they hold equivalent access.	Chief People Officer	Preserve role-specific fraud awareness and timely reinforcement for higher-risk roles.

WHAT SHOULD HAPPEN IN THE FIRST 90 DAYS?

The first 90 days

30 days: Preserve

0–30 DAYS

Preserve alert ownership, review discipline and timely escalation as detection coverage evolves.

fraud detection capability readiness — CFO / Chief Technology Officer

Preserve alert ownership, review discipline and timely escalation as detection coverage evolves.

Complete when: Rule and data-check catalogue with scenario linkage

60 days: Embed

31–60 DAYS

Preserve supplier due diligence and ownership checks before engagement.

third-party and supply chain fraud risk readiness — CFO / COO

Preserve supplier due diligence and ownership checks before engagement.

Complete when: Third-party risk rating

90 days: Measure and optimise

61–90 DAYS

Preserve role-specific fraud awareness and timely reinforcement for higher-risk roles.

fraud culture and awareness readiness — Chief People Officer

Preserve role-specific fraud awareness and timely reinforcement for higher-risk roles.

Complete when: Induction fraud module content

HOW WILL MANAGEMENT KNOW WHETHER READINESS IS IMPROVING?

What to check at the 90-day point

MEASURE	POSITION TODAY	90-DAY EXPECTATION
fraud detection capability readiness	Operating	Preserve alert ownership, review discipline and timely escalation as detection coverage evolves.
third-party and supply chain fraud risk readiness	Operating	Preserve supplier due diligence and ownership checks before engagement.
fraud culture and awareness readiness	Operating	Preserve role-specific fraud awareness and timely reinforcement for higher-risk roles.

Management conclusion

Fictional Retail Group (overstated confirmations) is operating from a strong position, supported by fraud leadership and governance and continuous improvement and fraud risk monitoring. The management question is no longer whether capability exists but whether it holds as the business changes. The next checkpoint should test whether ownership still operate as one system.

This report is based on management's responses to the MK Fraud Readiness assessment and MK's analytical methodology. It provides fraud-risk analysis and control-design guidance. MK has not independently tested whether controls operate in practice.